

Insight Report

Bank Customer Churn Analysis

Executive Summary

The Analysis shows a customer base of **10K customers**, with approximately 2.04K customers churned, resulting in a churn rate of nearly **20.4%**. Customer churn appears to be influenced by **age group, tenure, gender, and geography**, while salary and balance alone do not show a strong visible relationship with churn.

Key KPI Insights

KPI	Value	Insight
Total Customers	10K	Strong customer base
Total Churned	2.037K	Around 1 in 5 customers left
Average Salary	100.09K	High average earning customers
Average Balance	119.83K	Customers maintain moderate-to-high balances

Business Insight

A **20% churn rate is significant** for a bank and suggests the need for customer retention strategies, especially for high-value customers.

1. Customer Churn by Gender

Observation

- Female customers contribute ~ **56%** of churn
- Male customers contribute ~ **44%** of churn

Insight

Female customers show a relatively higher churn contribution compared to males.

Possible Business Reason

This may indicate:

- Lower product satisfaction among female customers
- Poor personalization of services
- Lack of targeted offers or financial products

Recommendation

- Create **gender-specific retention campaigns**
- Improve personalized banking services and rewards
- Conduct feedback analysis for female customers

2. Customer Churn by Age Group

Observation

Highest churn comes from:

1. **35-44 age group (~34.5%)**
2. **45-54 age group (~34.4%)**
3. **55+ age group (~16.8%)**
4. **25-34 age group (~12.3%)**
5. **18-44 age group (~2%)**

Insight

Middle-aged customers (**35-54 years**) are the most likely to churn.

Business Interpretation

These customers are often:

- High-income earners
- Loan or mortgage customers

- Users of premium banking services

They may switch banks for:

- Better interest rates
- Better digital banking experience
- Premium rewards and investment options

Recommendation

Focus retention on the **35-54 segment**:

- Premium loyalty programs
- Personalized loan/credit offers
- Relationship manager support
- Better digital experience

3. Customer Churn by Tenure

Observation

- Customers with **1 year tenure show the highest churn (232 customers)**, indicating new customers are leaving early.
- High churn is also seen in **3,5, and 9 years tenure (~209-213 customers)**, beyond the onboarding stage.
- Customers with **0 and 10 years tenure have the lowest churn (95-101 customers)**, showing very new and highly loyal customers are relatively more stable.
- Churn is spread across almost all tenure groups, meaning **customer retention challenges are not limited to a single tenure period**.

Business Recommendation

The bank should focus on:

- **Early customer engagement** for 1-3 year customers to reduce early exits
- **Loyalty and rewards programs** for mid tenure customers (4-9 years)
- Personalized offers and proactive customer support to improve retention across tenure levels.

4. Salary Vs Balance (Financial Information)

Observation

- The scatter plot shows customers distributed across **all salary and balance ranges**, with churned and non-churned customers appearing mixed together.
- There is **no clear direct relationship between salary and account balance with customer churn**, meaning high-income or high-balance customers are not necessarily more loyal.
- Most customers are concentrated in the **mid-balance range (around 50K-180K)** across different salary levels.
- Churn appears to be influenced by factors other than salary and balance, such as **customer experience, age, tenure, products used, or service quality**.

Business Recommendations

The bank should focus on:

- The bank should not rely only on financial indicators to predict churn. Instead, combine factors like **age, tenure, geography, product usage, and customer behavior** to better identify customers at risk of leaving.

5. Customer Churn by Geography

Observation

Countries such as **France, UK, USA, and Canada** appear to have relatively higher churn volume.

Insight

Churn differs across regions, indicating regional service or competition issues.

Possible Reasons

- Local competitors
- Different customer expectations
- Service quality variation
- Economic conditions

Recommendation

Run **region-specific retention strategies**:

- Market-level offers
- Country-specific pricing/benefits
- Local customer experience improvements

Overall Business Insights

Major Drivers of Churn

- Age (35-54 age group customers)
- Gender (higher female churn)
- Mid/high tenure customers
- Geographic variation

Weak Drivers

- Salary alone
- Balance alone

Strategic Recommendations

1. **Target high-risk age groups (35-54)** with premium offers
2. **Strengthen loyalty programs** for long-tenure customers
3. **Improve personalized banking experience** for female customers
4. **Create country-specific retention campaigns**
5. Build a **churn prediction model** to proactively identify at-risk customers
6. Monitor churn monthly using a KPI dashboard

Final Conclusion

The bank faces a **moderate churn problem (~20%)**, mainly concentrated among **middle-aged, long-tenure, and female customers**. Since financial variables alone do not strongly explain churn, the bank should prioritize **customer experience, personalization, and retention strategies** to reduce customer loss and improve long-term profitability.